SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

2026CUPP061428: LUIS FERNANDO CARDENAS PENA vs COSTCO WHOLESALE CORPORATION, A CORPORATION, et al.
06/23/2026 in Department 42
Motion to Compel Arbitration and Stay of Proceedings

<u>Defendant Instacart's Motion to Compel Arbitration and Stay Proceedings:</u>
Instacart has met its initial burden, establishing a valid agreement to arbitrate between the parties, and Plaintiff's refusal to proceed. Plaintiff's evidentiary arguments to the moving-party's declaration are rejected. Next, Plaintiff had not met his burden to show any defense, any unconscionability, to enforcement. He submits no meaningful argument regarding procedural or substantive unconscionability specific to the ICA. The Opposition arguments are totally unsupported by any admissible evidence, for example, the declaration of Plaintiff. Plaintiff has not shown the existence of any factual dispute about assent or authentication.

GRANT the Motion compelling arbitration with Instacart, and stay the action.

<u>Defendant Costco Wholesale Corporation's Motion to Compel Arbitration and Stay Proceedings:</u>
First, while Plaintiff argues that the negligence claims arising from the incident on Costco's premise is "outside any reasonable reading of "service" dispute with Instacart, the language of the Independent Contractor Agreement ("ICA") between Plaintiff and Instacart dated December 9, 2022 appears to refute that assertion. At §2.1 the ICA states, in part: "If you accept a Delivery Opportunity, you agree to use the Instacart Platform to retrieve the requested retail items from the store selected by the customer and deliver them in a safe and timely manner in accordance with the delivery window requested by the customer (the "Services")." The premises liability injury alleged here against Costco appears to reasonably fall within the scope of the anticipated services under the ICA.

However, the key threshold issue is whether Costco is a third-party beneficiary entitled to enforce a contract it has not signed, i.e., the Independent Contractor Agreement between Plaintiff and Instacart dated December 9, 2022. While Defendant Costco argues that this issue has been delegated to the arbitrator, as stated recently in *Toothman v. Redwood Toxicology Laboratory, Inc.* (2026) 120 Cal.App.5th 412, 420, when the party moving for arbitration does not appear as a signatory on the face of the document it seeks to enforce, that third-party must establish that it is a party to the agreement as part of its initial burden on a motion to compel arbitration. The delegation clause cannot eliminate this requirement, especially when the clause at issue expressly only covers disputes "between [Plaintiff] and Instacart"; not claimed third-party beneficiaries.

Here, I would find that Costco has not established that it is a third-party beneficiary of the contract entered into between Plaintiff and Instacart [*but not for the reasons argued by Plaintiff, which are (frankly) very weak and poorly argued*; *attacking the evidence is fruitless particularly where Plaintiff himself offers no declaration*.] Costco is not specifically named; and as I read the underlying agreement, the "motivating purpose" behind the ICA arbitration agreement was not to help Costco, or to extend contractual benefits to it. (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830 (*Goonewardene*).) Indeed, as in *Mahram v. The Kroger Co.* (2024) 104 Cal.App.5th 303, 311–313, the "identity and welfare of the grocer were incidental to the contracting parties;" "Instacart and the consumers with which it contracted typically would not have central concerns about *which* grocery store supplies the celery and cucumbers." Similarly, here there is no evidence that Instacart's "Shoppers" have as a central concern the exact identity of the stores they are sent to shop inside, or that Instacart has some unique motivating purpose regarding Costco specifically. The services "Shoppers" provide are to retrieve items from whatever store the customer selects. Like *Mahram,* despite the broad language in ICA at §9.3 covering retailers generally, "[n]othing in this case suggests Ralphs was anything special either to Instacart or Mahram" and on the record before it "grocers are fungible to the consumers and to Instacart." *Id.* Likewise, here the is nothing suggesting that Costco is anything special to Instacart or Plaintiff. Although Costco claims that the declaration of Jerica Sanchez shows that Instacart intended to ensure that all disputes arising from its platform, including claims against participating retailers like Costco, would be subject to arbitration, there is no evidence regarding the nature of the relationship between Instacart and Costco, or the "motivating purpose" of the ICA. The importance of Instacart's "retail partners" (Sanchez dec. ¶3) is left unexplained. Also, the declaration fails to include the location of its execution. Like *Goonewardene* and *Mahram*, here Costco cannot be found to have met its burden of establishing that it is a party to the ICA. There is insufficient evidence that it is a third-party beneficiary of the contract it seeks to enforce, therefore has no standing to compel Plaintiff to arbitration under the ICA. DENY.